Passport

Euromonitor International

Income and Expenditure: Colombia

September 2025

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Income and Expenditure: Colombia

In 2024, Colombia ranked ninth in Latin America for average gross income, with a 0.6% real decline in per capita disposable income. The decrease was driven by low labour productivity and high tax contributions. However, per capita disposable income is forecast to grow by 11% over 2024-2029, supported by infrastructure and agricultural initiatives, despite persistent poverty and income inequality.

HEADLINES

- Per capita disposable income in Colombia is forecast to increase by 11% in real terms over 2024-2029
- Middle Youth are projected to remain predominant in the top-income band by 2029, shaping luxury spending patterns in Colombia
- Income inequality is estimated to decrease over the long term and remain extremely high by global standards
- Social class C is set to be the fastest-growing social class but social class E will remain the prevalent social class through to 2029
- The Bogota region is anticipated to remain the largest consumer market in Colombia by 2029, accounting for 29.1% of total consumer expenditure
- Food and non-alcoholic beverages is forecast to be the largest consumer spending category in 2029, while communications will record the fastest growth over 2024-2029
- In 2030, Colombia is projected to rank 42nd out of 84 countries in Euromonitor International's Wealth Index

PROSPECTS

Colombia's modest economic performance restricts disposable income growth

In 2024, Colombia ranked ninth out of 17 Latin American countries in terms of average gross income, reaching USD7,593. Over the year, per capita disposable income levels in Colombia decreased by 0.6% in real terms, a marginal improvement compared to the 1.6% decline observed in 2023. The decrease in consumer income levels was primarily driven by falling labour productivity, which stood at USD16,397 in real terms, notably below the Latin American average of USD21,674. Additionally, the wage per hour in Colombia fell by 0.1% in real terms, reaching USD2.2. The tax and social security contributions as a percentage of gross income reached 19.5% in Colombia, surpassing the average of 13.4% in emerging and developing countries. According to Euromonitor's Voice of the Consumer: Lifestyles Survey 2024, 34.4% of respondents in Colombia expressed concern about their financial situation, reflecting the broader economic challenges faced by the population.

Over 2024-2029, per capita disposable income in Colombia is forecast to increase by 11% in real terms, outpacing the average growth in Latin America. This projected growth is underpinned by major public infrastructure initiatives and support for agricultural advancements, which are expected to bolster local employment opportunities and maintain family incomes. The population segment aged 45-49 years is forecast to remain the highest income earners per capita in 2029, thanks to the accumulation of assets and multiple sources of income. Furthermore, the consumer group aged 40-44 is anticipated to be prevalent in the top-income band (those with an annual gross income over USD250,001), creating new opportunities for businesses focusing on premium goods and services. Euromonitor's Voice of the Consumer: Lifestyles Survey 2024 also disclosed that 66.9% of respondents in Colombia believed they

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would be better off financially in the future, indicating a positive outlook despite the recent economic setbacks.

Poverty and income inequality persist in colombia despite social measures

Over 2019-2024, the share of the population living below the national poverty line in Colombia increased, reaching 42.5% in 2024. This trend underscores the persistent challenges in addressing economic disparities, despite the introduction of new tools for measuring poverty and social registries aimed at improving the targeting of assistance, particularly in rural and Indigenous areas. The income inequality in Colombia, as measured by the Gini Index, was extremely high by global standards in 2024, with the country ranking the highest in Latin America. The highest-earning 10% of households (Decile 10) had an average annual disposable income of USD69,987 and represented 41% of total disposable income generated in the country, while households in the bottom 10% of the income distribution (Decile 1) earned an average of USD1,574, accounting for only 0.9% of total disposable income. This stark disparity highlights the structural challenges that have hindered more equitable income distribution.

In 2024, the gender gap remained a significant issue in Colombia, with female employment standing at 48.9% compared to 68.4% for male employment. Men, on average, had 12.3% larger disposable income than women, a trend that can be attributed to the lack of comprehensive social protection policies, such as paid maternity leave, which are crucial for enhancing women's participation in the labour force. Despite these challenges, 53.6% of total enrolled students in higher education were female, indicating an increasing commitment to female education and empowerment. Over 2024-2029, social progress in Colombia is set to pick up, leading to a closing gap in income distribution throughout the population. Social class C is forecast to expand at the fastest pace across all social classes through to 2029, reflecting the potential for upward mobility and a more inclusive economic environment. However, social class E, representing the lowest income bracket, is projected to remain the prevalent social class in 2029, accounting for 42.9% of the total population aged 15 and above. The share of middle-class households, classified as social class C, is expected to contract over the forecast period, accounting for 20.6% of total households by 2029. These projections suggest that while there are positive steps towards reducing inequality, the prevalence of poverty and the concentration of wealth among the highest earners will continue to pose significant challenges.

Contracting middle class and falling disposable income hindered private consumption

In 2024, per capita consumer expenditure in Colombia remained unchanged in real terms, a reflection of the contracting middle class and falling disposable income, which significantly hindered private consumption growth. Nonetheless, remittances from Colombians living abroad remained a significant source of income for many households. The OECD noted that these financial inflows, along with disinflation, helped to support private consumption throughout the year. The inflation rate in Colombia decreased to 6.6% from 11.7% in the previous year, providing some relief to consumers. However, this reduction in inflation did not uniformly benefit all consumer groups, as education, hospitality services and housing witnessed the largest price increases. These sectors, which are typically considered non-discretionary, placed a heavier financial burden on households, particularly those in the lower income deciles. According to Euromonitor's Voice of the Consumer: Lifestyles Survey 2024, 75.6% of consumers in Colombia expressed worry about the increasing cost of everyday items, indicating a pervasive concern about financial stability. Low-income households, which allocate 69% of their total spending to essential goods and services, were disproportionately affected by these price hikes, while high-income households, allocating 30.4% of their spending to essentials, experienced a relatively faster growth in the cost of living.

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INCOME AND EXPENDITURE: COLOMBIA

Over the forecast period from 2024 to 2029, the consumer market in Colombia is expected to expand by 15.2% in real terms, driven by increased government spending on social initiatives and enhanced assistance for food and utilities. The adoption of digital payment systems has also played a crucial role in stabilising household consumption, particularly by protecting vulnerable populations from persistent cost-of-living challenges. Despite these positive developments, consumer spending habits are likely to remain cautious due to elevated household debt and interest rates, which have been a restraining factor across Latin America. Expenditure on communications is anticipated to increase at the fastest pace, reflecting the increasing importance of digital connectivity in daily life. However, food and non-alcoholic beverages is expected to remain the major consumer spending category in 2029, underscoring the continued prioritisation of essential goods. The discretionary buying power in Colombia is set to grow over the long term, with spending on discretionary goods and services projected to represent 58.5% of total consumer spending in 2029, aligning with the average for Latin American countries. Regionally, the Oriental market is forecast to expand at the fastest rate, yet Bogota will retain its position as the largest consumer market in Colombia, accounting for 29.1% of total consumer expenditure by 2029. According to Euromonitor's Voice of the Consumer: Lifestyles Survey 2024, 12.4% of consumers in Colombia intend to increase their overall purchases of products and services over the next 12 months, suggesting a gradual shift towards more optimistic spending behaviour.

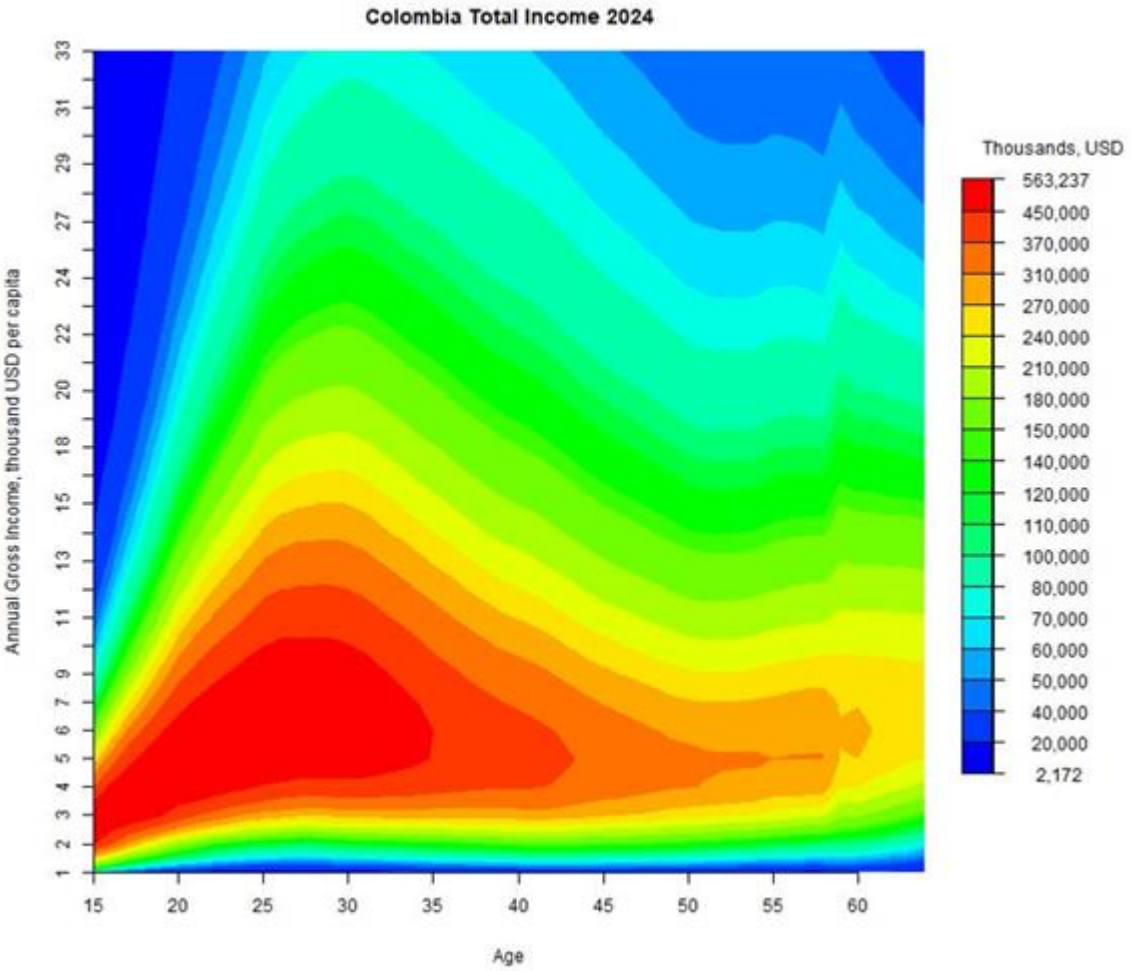
Colombia's wealth concentration and inequality projected to increase

Over 2024-2030, Colombia's market potential for high-value consumption is set to decrease, with the country forecast to deteriorate by three positions and rank 42nd out of 84 countries in the Euromonitor's Wealth Index. Despite this decline, wealth remains highly concentrated among a select few. The luxury goods market in Colombia continues to grow, driven by an expanding middle class and increasing demand for high-end fashion, accessories and personal care products. This trend is most prominent in major urban centres such as Bogotá and Medellín. The country's overall wealthy and affluent population is projected to expand to 53,000 adults by 2030, representing 0.1% of the total adult population. This segment is expected to hold 19.2% of the country's total wealth in 2030, underscoring the persistent inequality in wealth distribution. In 2024, the wealthiest 10% of households accounted for 46.7% of "inconspicuous consumption", which includes discretionary spending on health goods, medical services, education, leisure and luxury goods. By 2030, this figure is forecast to rise to 47.6%, indicating a further concentration of luxury market spending among the affluent. Meanwhile, the proportion of homeowners without mortgages is expected to decrease to 84.5% in 2030, below the Latin America average of 89.9%, reflecting an increasing financial burden on the middle and lower-income segments.

Savings per capita in Colombia are projected to reach USD218 in 2030, down from USD244 in 2024 and below the regional average, which can be attributed to the introduction of new asset and inheritance taxes targeting high net-worth individuals, aimed at increasing affordable housing and broadening investment opportunities. While these policies may be intended to address wealth concentration, they could also dampen the savings and investment capabilities of the wealthy, thereby impacting the broader economic landscape. Additionally, the region's focus on sustainable investment, particularly in renewable energy and technology, has fostered wealth generation, but the benefits have not been evenly distributed across the population, further exacerbating the concentration of wealth among the affluent.

Chart 1 Annual Gross Income Distribution by Age in Colombia 2024

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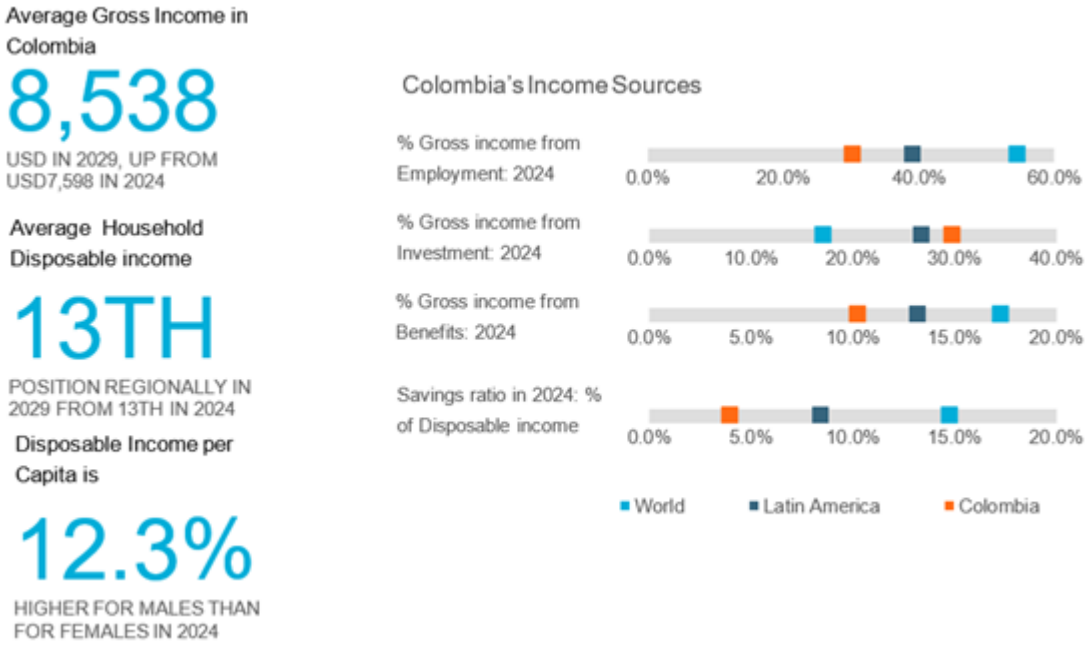


Source: Euromonitor International from national statistics

Chart 2 Distribution of Income in Colombia: Key Metrics 2024-2029

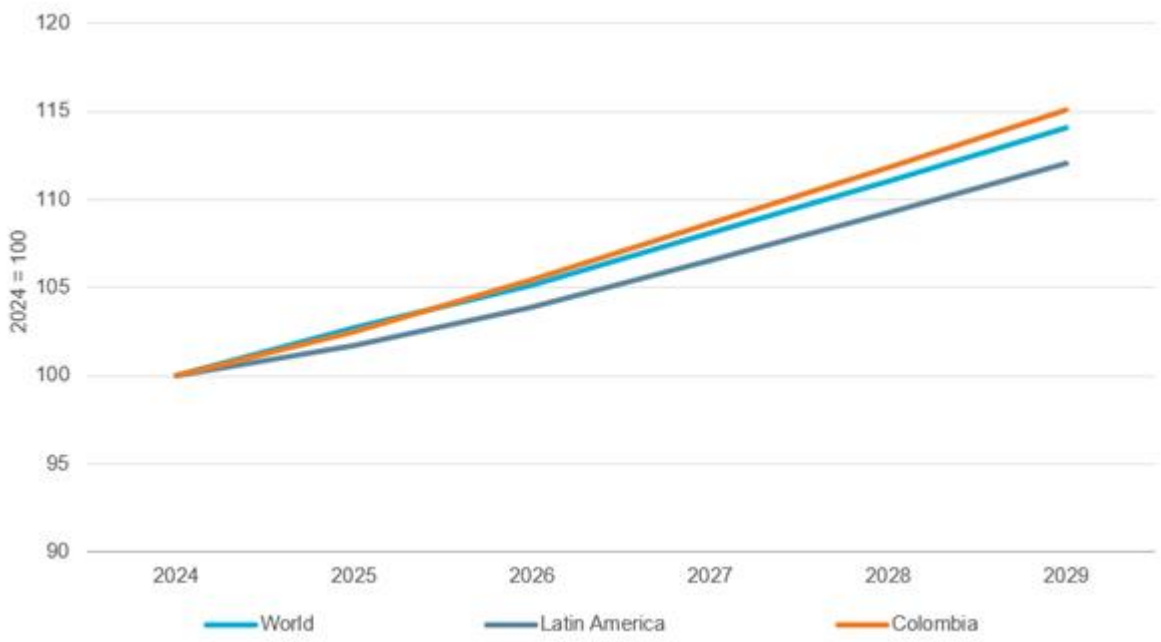
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INCOME AND EXPENDITURE: COLOMBIA



Source: Euromonitor International from national statistics
Note: Data for 2024-2029 is forecast

Chart 3 Gross Income Growth Index in Colombia 2024-2029

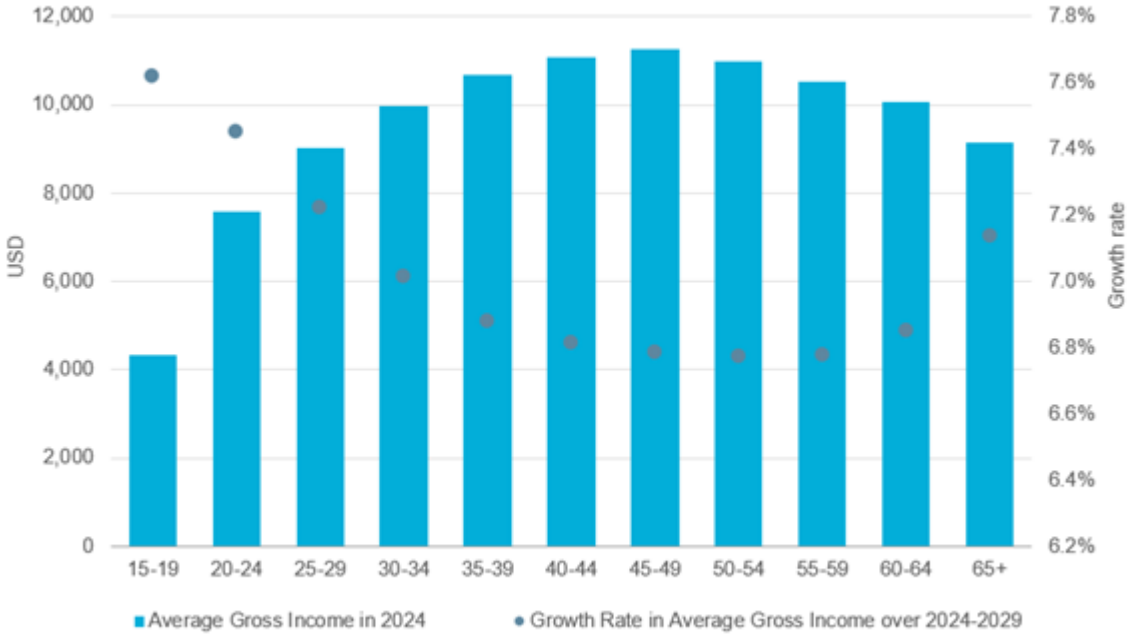


Source: Euromonitor International from national statistics
Note: Data for 2024-2029 is forecast

Chart 4 Average Gross Income by Age in Colombia 2024-2029

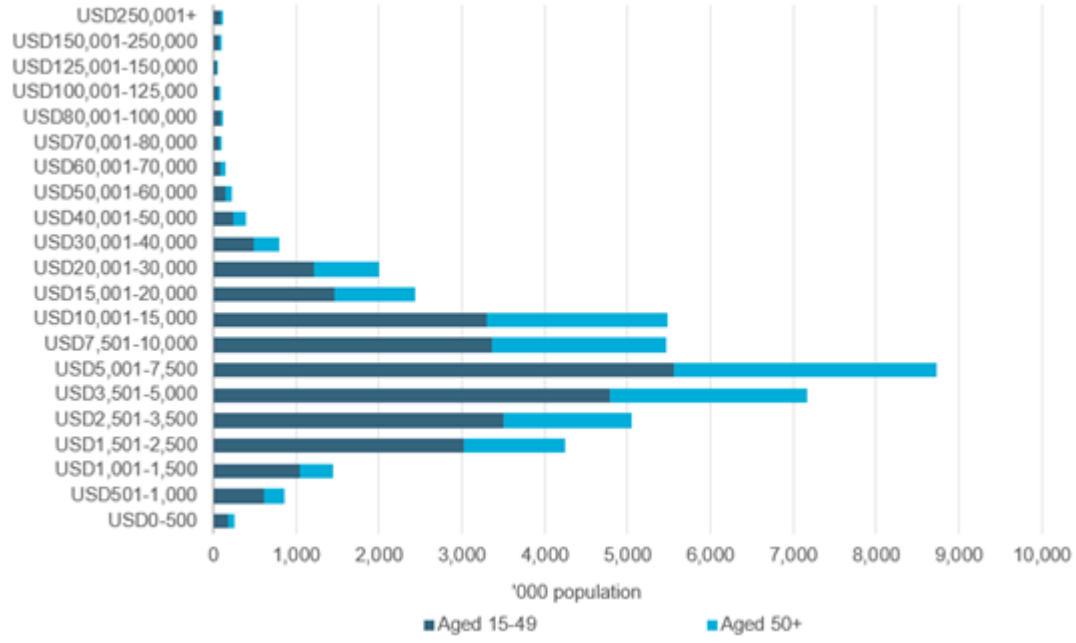
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INCOME AND EXPENDITURE: COLOMBIA



Source: Euromonitor International from national statistics
Note: Data for 2024-2029 is forecast

Chart 5 Population by Income Bracket in 2029

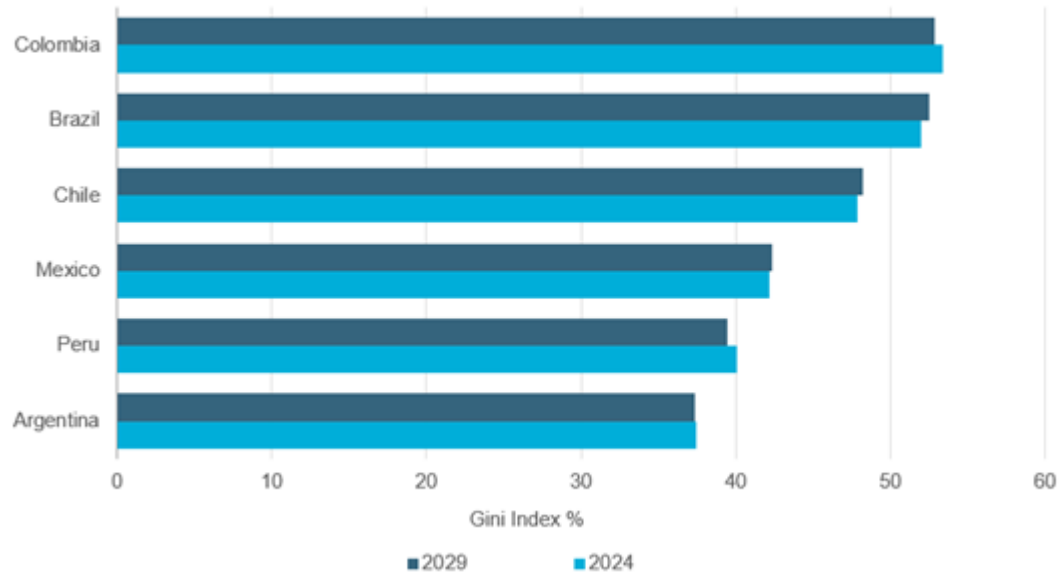


Source: Euromonitor International from national statistics
Note: Data for 2029 is forecast

Chart 6 Gini Index 2024/2029

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INCOME AND EXPENDITURE: COLOMBIA

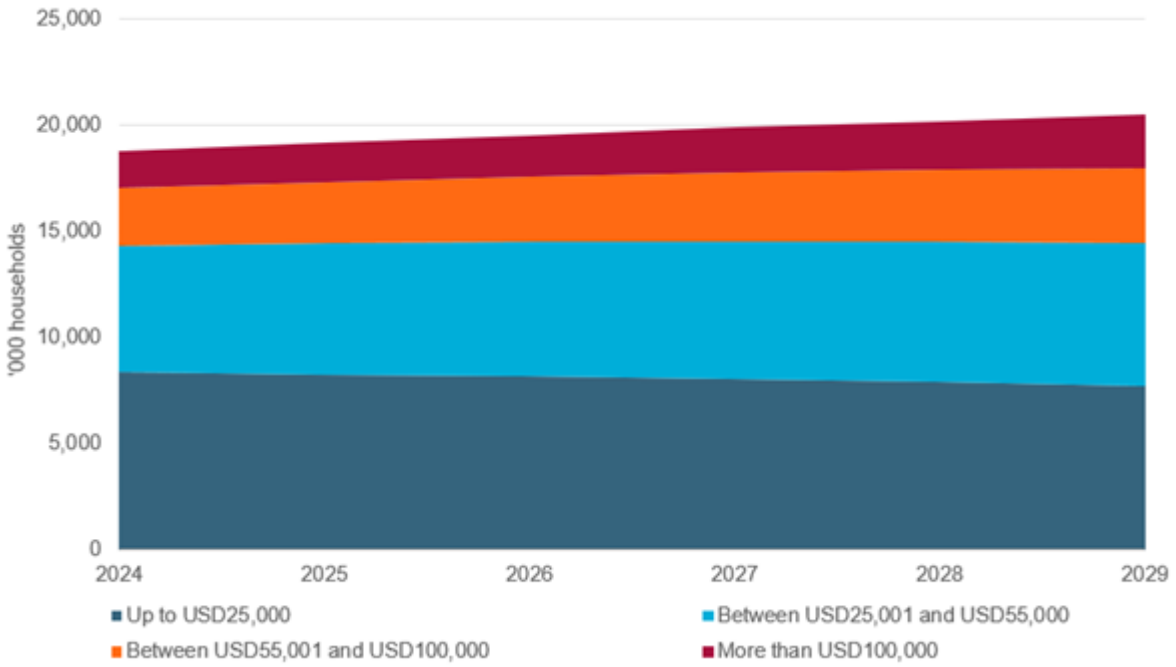


Source: Euromonitor International from national statistics

Notes: (1) Data for 2029 is forecast

(2) A society that scores 0% on the Gini Index has perfect equality, where every inhabitant has the same income. The higher the number over 0%, the higher the inequality, and a score of 100% indicates total inequality, where only one person receives all the income. A score above 40.0% indicates severe income inequality.

Chart 7 Households by Disposable Income (PPP) 2024-2029



Source: Euromonitor International from national statistics

Note: Data for 2024-2029 is forecast

Chart 8 Overview of Colombia's Social Classes 2029

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INCOME AND EXPENDITURE: COLOMBIA

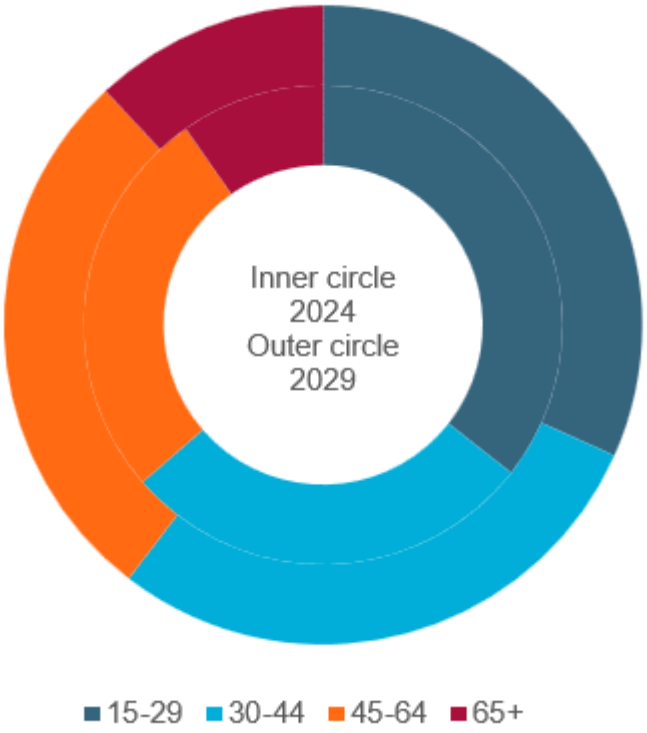


Source: Euromonitor International from national statistics

Notes: (1) Data for 2029 is forecast

(2) Social classes present data referring to the number of individuals with a gross income A - over 200%, B - between 150% and 200%, C - between 100% and 150%, D - between 50.0% and 100%, E - less than 50.0% of an average gross income of all individuals aged 15+.

Chart 9 Social Class E by Age 2024/2029



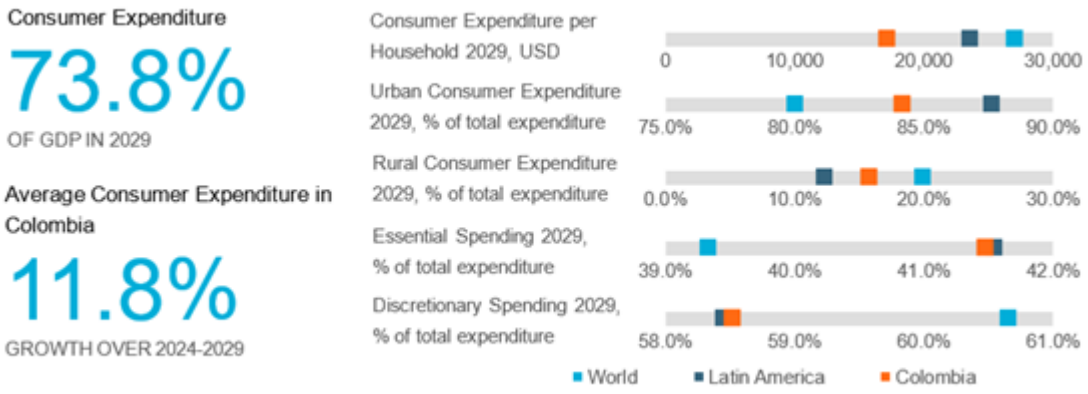
Source: Euromonitor International from national statistics

Notes: (1) Data for 2029 is forecast

(2) Social classes present data referring to the number of individuals with a gross income A - over 200%, B - between 150% and 200%, C - between 100% and 150%, D - between 50.0% and 100%, E - less than 50.0% of an average gross income of all individuals aged 15+.

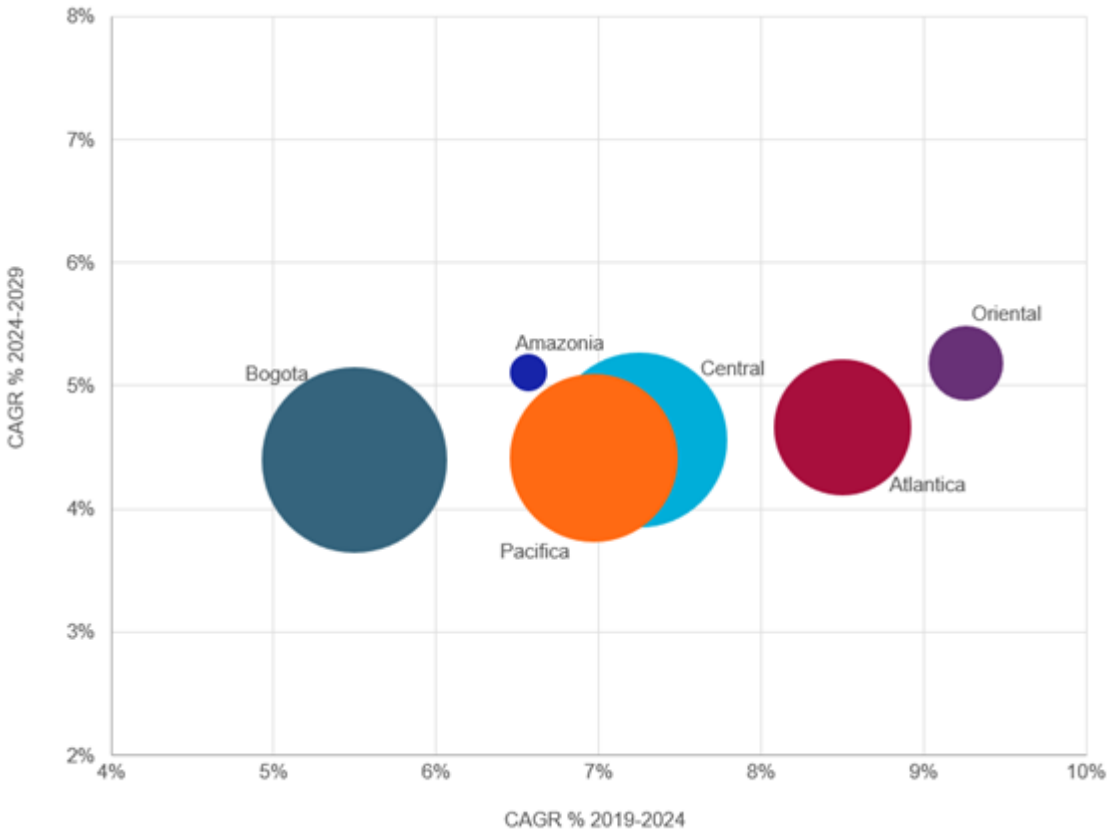
Chart 10 Consumer Market and Spending in Colombia: Key Metrics 2024-2029

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Source: Euromonitor International from national statistics
Notes: Data for 2024-2029 is forecast

Chart 11 Consumer Expenditure in Top Regions: Size in 2029 and Growth over 2019-2029

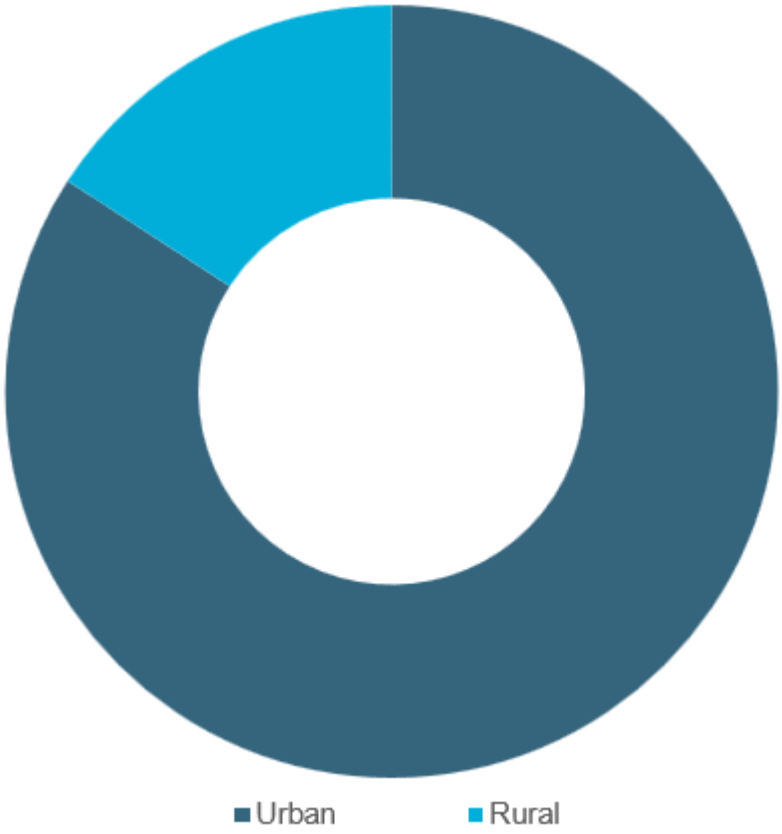


Source: Euromonitor International from national statistics/Eurostat/UN/OECD
Notes: (1) Data for 2024-2029 is forecast
(2) Bubble size indicates total consumer expenditure in the region in 2029, USD million

Chart 12 Urban/Rural Consumer Expenditure in 2029

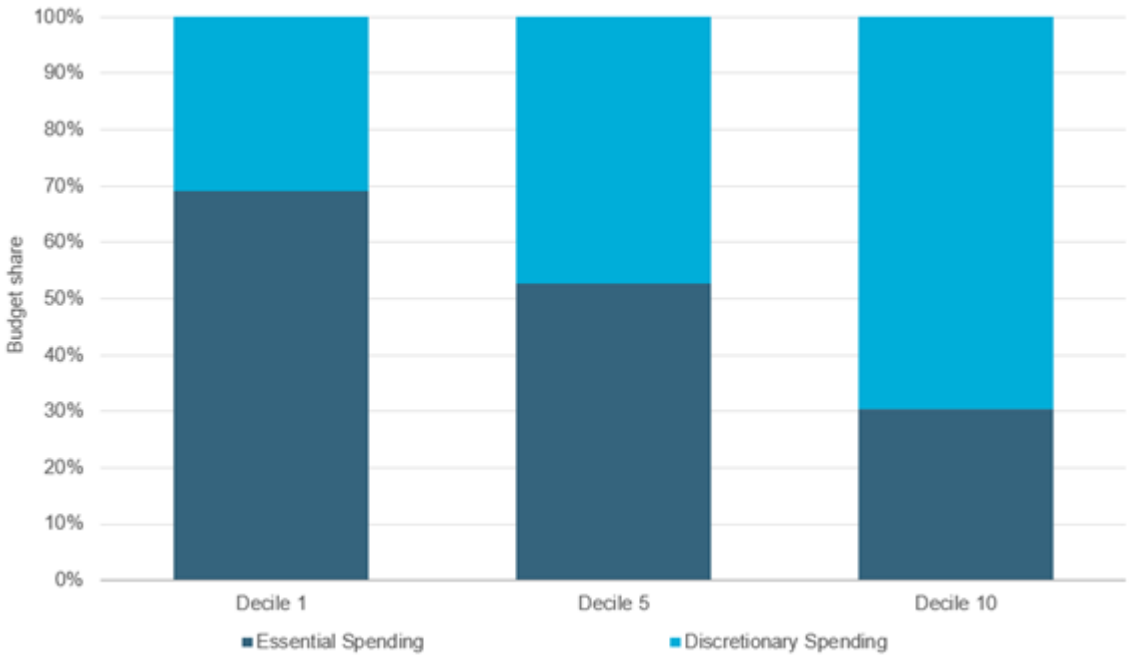
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INCOME AND EXPENDITURE: COLOMBIA



Source: Euromonitor International from Eurostat/national statistics
Note: Data for 2029 is forecast

Chart 13 Household Expenditure in 2024

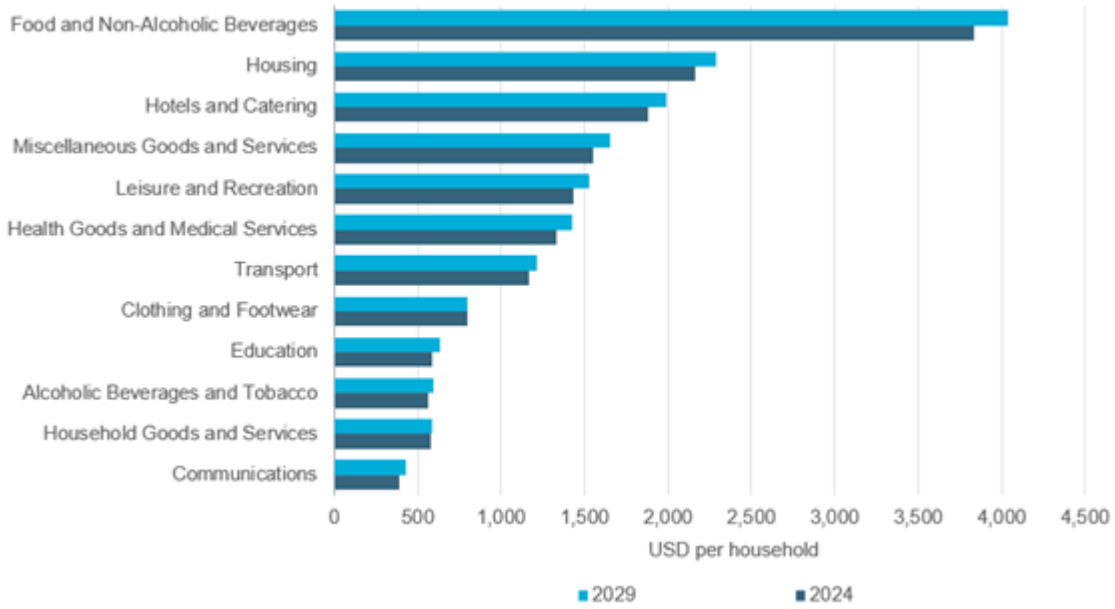


Source: Euromonitor International from national statistics

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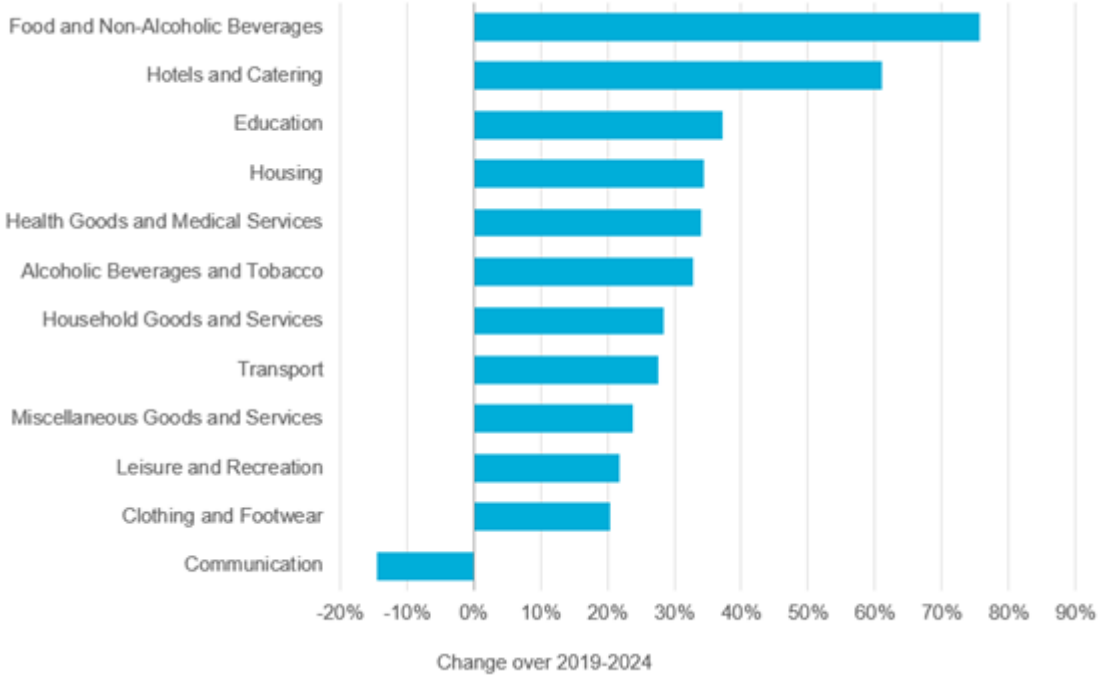
Note: Deciles are calculated by ranking all of the households in a country by disposable income level, from the lowest earning to the highest earning. The ranking is then split into 10 equal sized groups of households. Decile 1 refers to the lowest earning 10.0%, through to Decile 10, which refers to the highest earning 10.0% of households

Chart 14 Consumer Spending by Category in Colombia 2024/2029: USD per Household



Source: Euromonitor International from national statistics/Eurostat/UN/OECD
Note: Data for 2029 is forecast

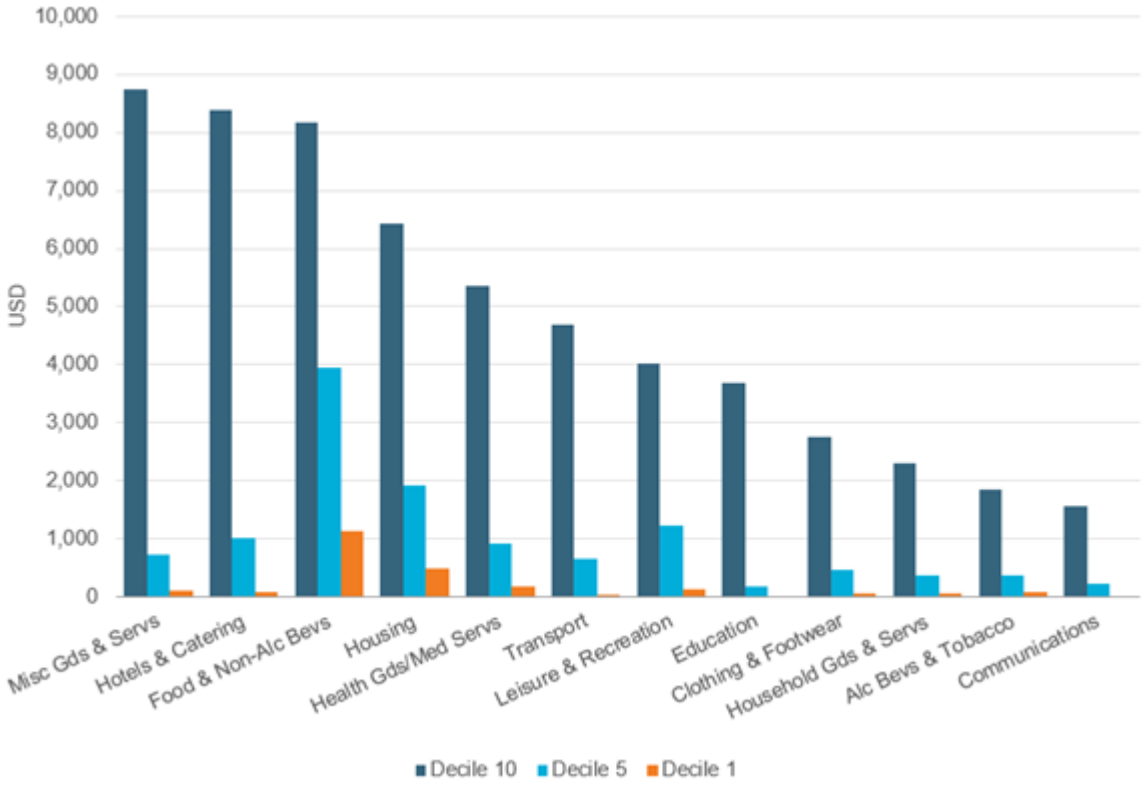
Chart 15 Index of Consumer Prices in Colombia over 2019-2024



Source: Euromonitor International from national statistics/Eurostat/UN/OECD

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Chart 16 Household Expenditure by Category in Colombia 2029



Source: Euromonitor International from national statistics

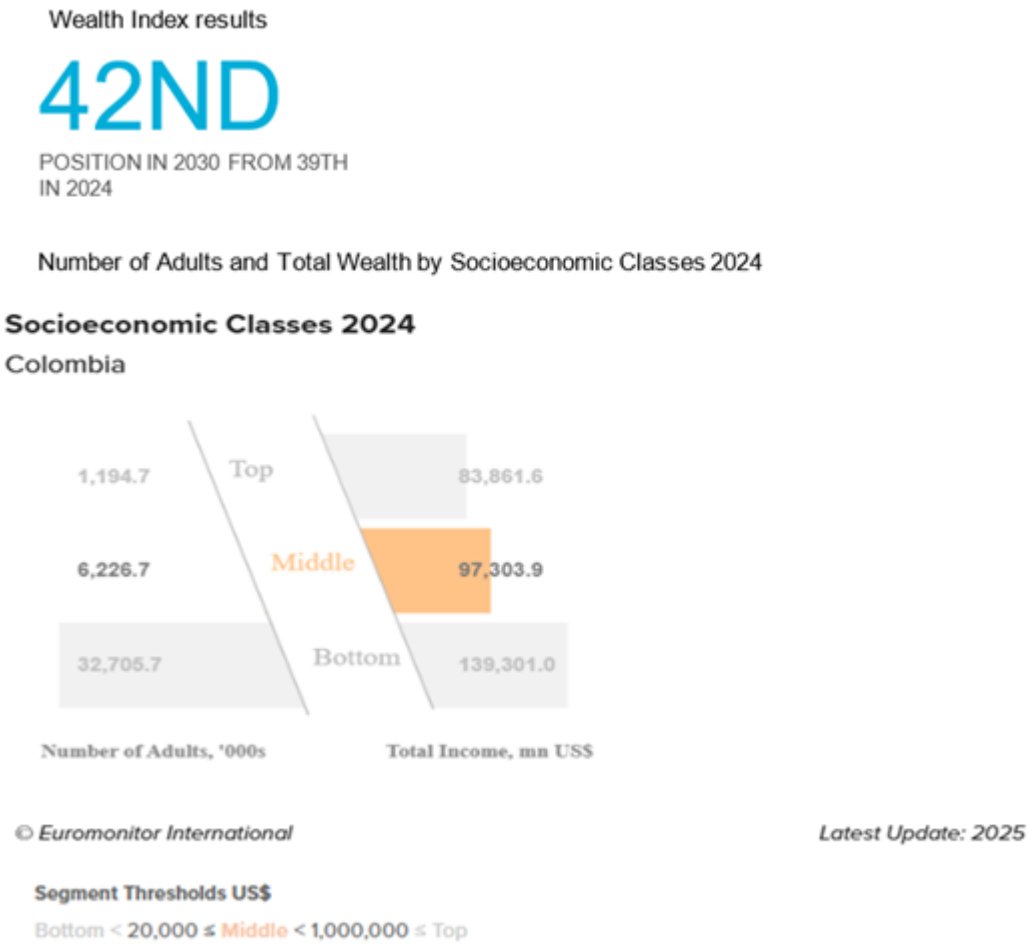
Notes: (1) Data for 2029 is forecast

(2) Deciles are calculated by ranking all of the households in a country by disposable income level, from the lowest earning to the highest earning. The ranking is then split into 10 equal sized groups of households. Decile 1 refers to the lowest earning 10.0%, through to Decile 10, which refers to the highest earning 10.0% of households

Chart 17 Colombia's Wealth Landscape 2024-2030

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INCOME AND EXPENDITURE: COLOMBIA



Source: Euromonitor International's Income and Wealth Distribution Model

Notes: 1) Euromonitor International's proprietary Wealth Index is a measure of the present and future potential of high-value and luxury consumer markets across 84 key countries. It was built from 21 indicators covering wealth, consumer expenditure, savings, households, insurance and pensions. Each indicator was assigned a weighting based on its perceived importance. For easier comparability, statistical scaling methods were used to fit all index component values to the same intervals. Each interval has a minimal value of zero and can reach a maximum of 100.

2) Ultra HNWIs comprise adults with net wealth exceeding USD50.0 million; HNWIs have a net wealth exceeding USD5.0 million but below USD50.0 million; Affluent individuals have a net wealth exceeding USD1.0 million but below USD5.0 million.

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